

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

EPIC FREIGHT SOLUTIONS LLC and
OMNI LOGISTICS LLC,
RESPONDENTS.

**RESPONDENT OMNI LOGISTICS, LLC'S AND RESPONDENT
EPIC FREIGHT SOLUTIONS LLC'S JOINT COMBINED MOTION FOR
LEAVE TO FILE A SUR-REPLY AND TO SUPPLEMENT THE RECORD**

Respondent Omni Logistics, LLC ("Omni") and Respondent Epic Freight Solutions LLC ("Epic") (collectively, "Respondents"), through counsel and pursuant to 46 C.F.R. §§ 502.69 and 502.216, respectfully move for (1) an Order granting them leave to file a sur-reply to address new evidence submitted by Complainant TPG Pressure, Inc. ("TPG") with its Reply Brief, and (2) an Order granting them leave to supplement the record. Respondents' motion is supported by the attached Memorandum in Support, and Respondents' proposed Sur-Reply is attached hereto as Exhibit A.

Dated: April 30, 2024

Respectfully submitted,

**BENESCH, FRIEDLANDER,
COPLAN & ARONOFF LLP**

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MEMORANDUM IN SUPPORT

I. INTRODUCTION

TPG submitted new evidence with its Reply Brief and raised a new damages theory in its Reply Brief. Respondents will be prejudiced if they are deprived of the opportunity to be heard on TPG's new assertions, presented for the first time in its Reply Brief. Specifically, TPG submitted new evidence: a revised "Shipment Chart" and a revised "Damages Chart," as well as declarations from its counsel purporting to authenticate TPG's (now-revised) "Shipment Chart" and (now-revised) "Damages Chart." Further, TPG significantly recalculated its claimed damages, reducing its claim by nearly \$300,000. While Respondents obviously do not object to TPG's capitulation with respect to a portion of its previously-claimed damages, Respondents should be given the opportunity to address TPG's theories (some of which TPG does not articulate) underlying TPG's new damages calculation. Finally, despite reversing course and adopting a more reasonable position with respect to *some* of its claimed damages, TPG continues to claim baseless damages for amounts it unequivocally has not paid. For instance, if the Presiding Officer gave TPG everything it wants, TPG would receive over \$50,000 in supposed damages for invoices that TPG never paid. Respondents would be prejudiced without the opportunity to further address this point.

Further, TPG's latest "Damages Chart," which TPG now asserts contains its claimed damages (rather than its "Shipment Chart"), omits references to *at least* twenty-five (25) carrier invoices or payment receipts for demurrage charges. Respondents should be permitted to supplement the record to add these documents to Respondents' Appendix.

II. RELEVANT FACTS

TPG filed its Opening Brief, Proposed Findings of Fact, and Appendix on February 22, 2024. Included in TPG's Appendix was its "Shipment Chart" (CApp011020) and its "Damages

Chart” (CApp011019). According to TPG’s Opening Brief, the “**Shipping [sic] Chart PFF ¶ 144 sets forth charges invoices by Respondents that are claimed as damages here.**” (Opening Brief at 30) (emphasis added). The Shipment Chart and the Damages Chart were unauthenticated, and TPG’s Opening Brief provided no indication of who even created either chart (let alone proper authentication). According to TPG’s Opening Brief, “the total amount of damages [TPG] incurred is a total of \$847,712.63,” as reflected by the Shipment Chart (Opening Brief at 31.)

In its Reply Brief and accompanying documents, TPG now concedes that it is only entitled to \$584,837.29. (Reply Brief at 7, 13, 16, 35, 40.) This amounts to a reduction of \$262,875.34 in TPG’s claimed damages. TPG explains that it “has reduced its claim for chassis fees by two days per shipment” (*Id.* at 37), which partially accounts for a reduction of \$89,505.00 of claimed damages. (See Damages Chart Revised for Reply, CApp011019, Chassis Claims, Row 600.) TPG also finally abandoned its baseless claim for recovery of chassis fees incurred in connection with the Ship Canal project, which TPG now acknowledges were the fault of no one but itself and its customer. (See *id.*, Rows 329-334.) Similarly, TPG reduced its claimed damages for storage charges by \$76,950.00, recognizing that all storage charges incurred in connection with the Ship Canal project are unrecoverable. (See *id.*, Storage Claims, Row 224.) Accordingly, TPG’s reduction in damages for chassis and storage charges amounts to \$166,455.00. However, TPG does not explain, in its Reply Brief or otherwise, the remaining \$96,420.34 reduction of its claim.¹

With respect to its Damages Chart and its Shipment Chart, TPG offers belated declarations from its counsel to purportedly authenticate the two charts. TPG explains that the “Shipment Chart and Damages Chart are submitted for the Commission’s consideration under Federal Rules [sic] of Evidence 611(a) as demonstrative evidence to assist in organizing and reviewing the over 900

¹ Again, Respondents naturally have no objection to TPG’s capitulation with respect to certain damages, but Respondents are entitled to identify the fundamental flaws in TPG’s apparently ever-fluid calculations.

shipments at issue therein.” (Declaration of Tiffany N. Comprés, ¶ 4.) One of TPG’s lawyers “supervised the creation of the Shipment Chart for this litigation.” (*Id.* at ¶ 5) (emphasis added). In turn, TPG’s Damages Chart “was prepared based on the . . . Shipment Chart.” (Declaration of Gene M. Burd, ¶ 4). “The entries in the [Damages Chart] are copied from the corresponding entries from . . . [the] Shipment Chart.” (*Id.* at ¶ 6.) TPG now represents, for the first time and contrary to its representations in its Opening Brief, that the Damages Chart contains TPG’s claimed damages. (Burd Decl. ¶ 6.)

III. LAW AND ARGUMENT

A. Standard for Filing a Sur-Reply.

While sur-replies are not expressly provided for in the scheduling order in complaint proceedings, the Commission has allowed sur-replies based on the principle that “decisions should be based on a full and complete record.” *Moses Damisa v. Trans Atlantic Shipping, LLC*, Docket No. 1967(F), 2021 WL 3883278, at *2 (F.M.C. Aug. 27, 2021) (granting leave to file sur-reply that “provide[d] additional relevant information and arguments.”). Sur-replies “are routinely permitted in cases where a party is unable to contest matters presented to the court for the first time in the last scheduled pleading.” *Seafair USA LLC v. Sterling Container Line Ltd. et al.*, Docket No. 22-34, 2023 WL 6811143, at *1 (F.M.C. Oct. 10, 2023) (citing *Ben-Kotel v. Howard Univ.*, 319 F.3d 532, 536 (D.C. Cir. 2003)). “Where [the] complainant has introduced new evidence in its reply brief, it is appropriate to allow [the] respondent the opportunity to reply to that new evidence.” *Id.* “In deciding whether to allow a sur-reply, a court should consider whether the reply actually raises arguments or issues for the first time, whether the proposed sur-reply would aid resolution, and whether prejudice would result from leave being granted.” *Id.* (citing *Glass v. Lahood*, 786 F. Supp. 2d 189, 230-31 (D.D.C. 2011)).

As explained below, each item of new evidence and the new arguments identified below were actually raised for the first time in TPG’s Reply Brief. Respondents’ proposed sur-reply will also aid the Presiding Officer in resolving this dispute because TPG omits key facts (*i.e.*, about the charges it has not paid) and fails to explain fully its new damages calculation (*i.e.*, the \$96,420.34 reduction of its claim). Respondents simply seek to respond to TPG’s new theories. Finally, no prejudice will result from granting Respondents leave to file a sur-reply. Only three weeks have passed since TPG filed its Reply Brief, and still three months remain until the Presiding Officer must issue the initial decision.

1. TPG Submitted New Evidence and Raised New Arguments about Certain Evidence that TPG did not Raise in its Opening Brief.

TPG’s after-the-fact attorney declarations purporting to authenticate its Shipment Chart and Damages Chart—and the “revised” Damages Chart and Shipment Chart themselves—constitute new evidence that was not submitted with TPG’s Opening Brief and Appendix. The Presiding Officer’s Scheduling Order does not allow for the filing of evidence in connection with the complainant’s reply brief. The governing schedule is set forth in the Presiding Officer’s Order dated January 16, 2024:

The parties are hereby **ORDERED** to follow this revised briefing schedule:

February 15, 2024 Complainant’s brief, proposed findings of fact, and appendix.

March 18, 2024 Respondents’ opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.

April 2, 2024 Complainant’s reply brief and responses to proposed findings of fact.

Accordingly, while schedule did not permit TPG to file additional evidence with its Reply Brief, TPG nevertheless did so (and did not even seek leave to do so). In their own brief, Respondents naturally relied on TPG’s Shipment Chart as containing TPG’s claimed damages—*because TPG*

repeatedly represented in its Opening Brief that the Shipment Chart contained TPG's claimed damages. (See Opening Brief at 30 (“The Attached Shipping [*sic*] Chart . . . sets forth charges invoiced by Respondents that are claimed as damages here.”); TPG’s PFF ¶ 145 (“The invoices that are the subject of this action are identified in the Shipment Chart filed herewith[.]”).) Now, along with its Reply Brief, TPG informs Respondents (and the Presiding Officer) for the first time that the “Damages Chart”—not the “Shipment Chart”—contains TPG’s claimed damages. (Burd Decl. ¶ 5.) TPG did not bother to explain the import of its Damages Chart in its Opening Brief or Proposed Findings of Fact—a point which Respondents made in their own brief.

TPG additionally asserts new arguments as to the admissibility of its Shipment Chart and Damages Chart. Specifically, TPG argues for the first time in its Reply Brief that the two charts are admissible pursuant to Federal Rule of Evidence 611(a) as a “compilation of other records produced in this proceeding that can be authenticated.” (Reply Brief at 39). TPG relies almost exclusively on *Worldwide Relocations* in support of this proposition. But in that case, the Presiding Officer was careful to note that the shipment charts at issue were admitted only “to assist in organizing and reviewing the shipments, and **not as independent evidence of underlying claims.**” *Worldwide Relocations*, 31 S.R.R. 1471, 1493-98, 1501-02, 1505 2010 WL 11768817, at *35 (ALJ 2010). Accordingly, here, even if the charts are admitted under Fed. R. Evid. 611(a), TPG’s Shipment Chart and Damages Chart cannot be given the weight of actual evidence. Rather, the Presiding Officer must comb through the thousands of pages of documents TPG submitted and “fully consider” them.

Notwithstanding TPG’s new arguments about the *admissibility* of its Shipment Chart, TPG still fails to address the other deficiencies inherent in its Shipment Chart. For example, as noted in Respondents’ Brief, TPG “does not identify who formulated the analysis or [that] person’s

qualification for making the analysis; therefore, the analysis does not have a sponsoring witness to lay a foundation for admission as evidence.” *Santa Fe Discount Cruise Parking, Inc. d/b/a Cruise Parking, et al. v. The Board of Trustees of the Galveston Wharves, et al.*, FMC Docket No. 14-06, 2015 WL 8282353, at *36 (Dec. 4, 2015). TPG now belatedly offers that its counsel “*supervised* the creation of the Shipment Chart for this litigation.” (Compres Decl., ¶ 5) (emphasis added). In other words, TPG’s counsel did not create the Shipment Chart herself, and TPG does not disclose who *did* create it. In *Cruise Parking*, identical facts were sufficient for the presiding officer to treat a similar chart as “argument of counsel,” rather “evidence of injury.” *Cruise Parking*, 2015 WL 8282353, at *36. Because TPG has not cured this untimely failure to disclose, and because TPG was unable to identify any damages during its deposition, its Shipment Chart should be afforded no more weight than argument of counsel. Respondents should be afforded the opportunity to respond to TPG’s new assertions.

2. *TPG Quietly Advances a New Theory as to its Damages that was not Set Forth in its Opening Brief.*

As noted above, TPG drastically decreased its claimed damages from \$847,712.63 to \$584,837.29. This reduction is partially accounted for by TPG’s concession that Respondents were correct with respect to TPG’s claims to storage and chassis charges in connection with the Ship Canal project and the minimum quoted chassis charges. But TPG’s Reply Brief does not explain why it reduced its claim for an additional \$96,420.34. Its apparent methodology is telling: The additional amount of waived damages *appears* to reflect demurrage charges for which an underlying carrier invoice was included. (See CApp011019, Revised Damages Chart, Column D.)

TPG claims that “[i]t is not TPG’s contention that Respondents’ charges must always [*sic*] include the underlying carriers’ *invoices*.” (Reply Brief at 17.) Yet, without elaborating at all (and assuming Respondents correctly interpret TPG’s vague new damages calculation), this is precisely

TPG’s contention. Notably, this is directly contrary to recent decisions issued by the Presiding Officer. *See Bakerly, LLC v. Seafrigo USA Inc.*, FMC Docket No. 22-17, Initial Decision (Jan 3, 2024) (“case law does not support [the] position that pass-through charges must always include the underlying ocean carrier/marine terminal invoices.”).

Respondents should be afforded the opportunity to address TPG’s constantly evolving damages calculation. Far from a “strawman argument,” as TPG contends, TPG’s new position demonstrates that Respondents’ arguments on this point are well supported. TPG’s position that Respondents failed to provide “*any* kind of documentation supporting reasonableness of the charges” (Reply Brief at a 17) is simply not credible. To reach this conclusion, the Presiding Officer need look no further than TPG’s own appendix—specifically, the 7,518-page PDF, which TPG itself entitled “Documents [Respondents] Provided to TPG re Invoices.” (CApp10121.)

3. *TPG Continues to Claim Damages for Amounts that Respondents Charged but which TPG has not Paid.*

To its credit, as discussed above, TPG waved the white flag and abandoned some of its absurd claims for damages—*i.e.* the storage and chassis charges incurred on the Ship Canal containers and the two-day minimum chassis charges that it clearly agreed to pay. But to its discredit, TPG maintains its most absurd claim for damages: Claims to recover demurrage that TPG never paid in the first place.

TPG does not—and cannot—legitimately dispute that it has not paid Respondents’ outstanding invoices in the amount of \$390,336.80. (RPFF ¶ 99.) TPG denies Respondents’ proposed findings of fact on this topic, but cites no evidence in support of its denial. (*See* TPG’s Responses to Respondents’ PFF, ¶¶ 98-99.) TPG cannot establish any “actual injury” caused by charges it has not paid. Not surprisingly, Commission precedent confirms the same. *See, e.g., California Cartage v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985) (Commission

precedent does not permit “parties who have not actually paid contested charges to claim them as reparations[.]”); *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934) (holding that eligibility to seek reparations for allegedly unlawful rates is limited to the entity that paid the rate to the carrier directly). Accordingly (and obviously), TPG is not entitled to recover any charges that it has not paid.

B. Standard for Supplementing the Record.

Commission Rule of Practice 216 provides that “[a] motion to supplement the record, pursuant to § 502.69, should be filed if submission of evidence is desired after the parties’ presentation in a proceeding, but before issuance by the presiding officer of an initial decision.” 46 C.F.R. § 502.216. By its plain language, Rule 216 creates a liberal standard for supplementing the record, consistent with Commission precedent, which favors the agency making its decision based on the most complete record available. *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines-Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 SRR 1376 (ALJ 2002). “[I]t is Commission policy that the evidentiary record be fully developed fully [sic] before an initial decision is rendered.” *Id.* at 1377. Indeed, “[i]t is not just the policy, but the responsibility of the Commission and, by delegation of authority, the presiding judge, to inquire into and consider all relevant facts.” *Id.* The Commission thus has “clear authority” to allow parties to supplement the record “for the purpose of taking additional evidence.” *Anderson Int’l. Transport et al. Possible Violations of Section 8(A) and 10 of the Shipping Act of 1984*, Docket No. 07-02, 2009 WL 6084172, at *3 (F.M.C. Dec. 4, 2009). This is particularly the case in light of TPG unilaterally supplementing the record.

1. TPG's Revised Damages Chart Omits Demurrage Invoices and Proofs of Payment that were Produced in this Litigation.

Now that TPG has pivoted to its Damages Chart, rather than its Shipment Chart, as the latest lodestar for its claimed damages, Respondents can identify even more inaccuracies making the Damages Chart wholly unreliable. For example, TPG's Damages Chart falsely states that no carrier invoice was provided for invoices numbers 7203105 00, 7203107 00, 7203113 00, 7204911 00, 7209832 00, and 7210950 00. (*See* CApp011019, Revised Damages Chart, Demurrage Claims, Rows 9, 10, 13, 106, 114, and 130). But Respondents produced carrier invoices for those demurrage charges. Respondents seek to supplement Respondents' Appendix so that the Presiding Officer can issue her initial decision based on the most complete record available.

Respondents have also identified an additional 20 credit card payment receipts that were produced by Respondents but which TPG omitted from its damages chart.² Respondents likewise seek to supplement the record with these payment receipts so that the Presiding Officer has the benefit of a complete record.

IV. CONCLUSION.

Because TPG submitted new evidence and advanced new damages theories for the first time in its Reply Brief, Respondents should be permitted to file a sur-reply to address them. A contrary result would be highly prejudicial to Respondents, and permitting Respondents to file a sur-reply will result in no prejudice to TPG. Respondents sur-reply will aid the Presiding Officer

² These omissions by TPG further demonstrate the unreliability of TPG's Shipment Chart and Damages Chart. Other errors exist throughout the 926-row, 69-row Shipment Chart. But, unfortunately, due to TPG's gamesmanship and the time allotted, Respondents could not possibly identify each field for errors.

in reaching her decision. For similar reasons, Respondents should be permitted to supplement the record with evidence that TPG omitted from its Damages Chart.

Dated: April 30, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 30th day of April, 2024, a true and correct copy of the

foregoing was served via electronic mail on:

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